

Auto Lending Operationalization Strategy

December 2024



#1

Traditional Banking

Systemic banks still dominate car purchase financing

#2

Santander, CA AutoBank & Captives (VW/BMW)

Captive finance companies offer more flexible financing options and a holistic approach to meet all Dealer Networks' needs

#3

Changing Landscape in Greek Auto Lending

While Greek automotive market is rising, systemic banks are losing ground in financing these purchases

#4

ERB Evolution

Traditionally, ERB had a strong market share among systemic banks. Recently though our share has decreased due to extreme competition from both systemic & captive banks

#5

Rising Demand for Flexible Car Leasing

The leasing market in Greece is experiencing growth, with fleet sales counting for approximately 55% of total car sales

Auto Finance Market Perspective in Greece



 ALPHA BANK



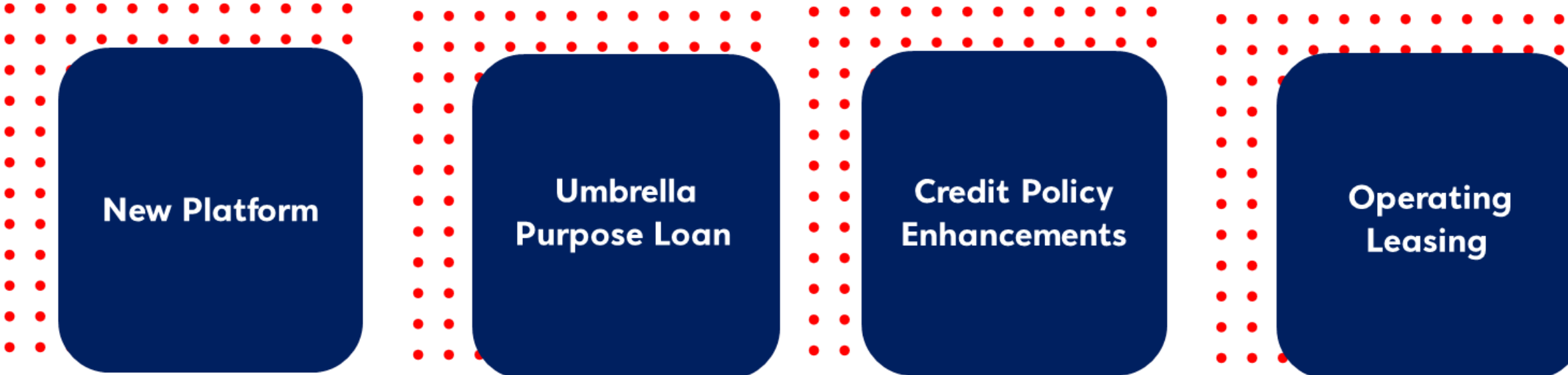
 EUROBANK

IB FINANCING

RETAIL AUTO LOANS								
E2E DIGITAL AUTO LOAN Used car marketplace with digital CJ embedded finance					 Limited/specific digitized aspects			
RETAIL OPERATING LEASING								

SB & DEALER FINANCING

<u>SB FINANCING:</u> FLEET AUTO LOANS (RaC & Commercial vehicles)								
<u>DEALER FINANCING:</u> - STOCK FINANCE - FLOOR PLAN FACILITY New & Used Cars								
FLEXIBLE RENTAL PROGRAMS (Maas) Through dealers								
RETAIL OPERATING LEASING Through dealers								



New Platform

**Umbrella
Purpose Loan**

**Credit Policy
Enhancements**

**Operating
Leasing**

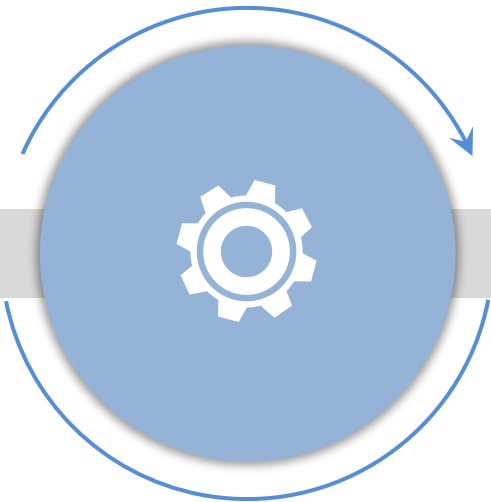
Common Platform for Fleet & Retail

Integration of processes to serve & both fleet retail operations efficiently



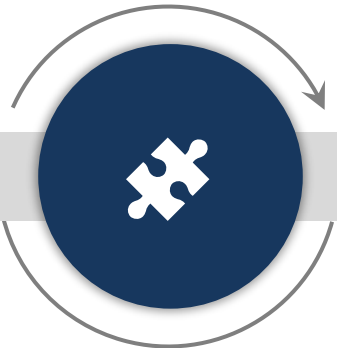
Modular Design

Flexibility to add features like leasing & adapt to future business needs



Integration Capabilities

Seamless connectivity with existing systems for smoother operations.



Digitalization Process & Seamless Experience

Enhanced user experience & faster "time to cash" through streamlined and automated workflows



Scalability

Capability to grow with the business & support increasing volumes or new market requirements



Umbrella Purpose Loan: Santander UK (1/2)

Whether you're buying your first car or upgrading to a newer model, a personal loan can give you the freedom to buy the car that you want, with no limit to the miles you can do. Our personal loans aren't secured against your car, so you're free to sell it or part exchange it any time.

We offer one type of personal loan that you can use for different reasons. Check out our [personal loans page](#) to see what else a loan can be used for.

Car loan calculator

I would like to borrow

(minimum amount is £1,000 and maximum amount is £25,000)

I would like to repay this over

Representative example

These figures will change every time you make changes to the calculator.

Representative [?]

6.4% APR

Loan amount

£20,000

Monthly repayment

£388.70

Maximum APR we could offer on a loan of **£20,000** is **26.9%** with a monthly repayment of **£576.07** and total amount repayable of **£34,564.20**

Interest rate

6.4% (fixed) p.a.

Term

60 months

Total amount repayable

£23,322.00

Your loan

Requested amount

Over how long (years)

What is your loan for

Please select...

New car

Used car

Home improvements

Debt consolidation

Other

[Back](#)

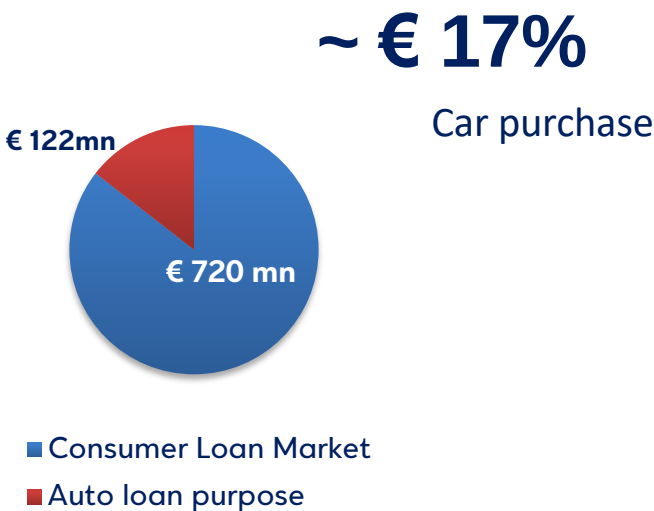
[Continue](#)

Typically get a decision within 5 minutes

[Check your eligibility](#)

Based on recent data*, at least 17% of ERB customers in 2024 take out loans exclusively for car purchase.

New auto loan products (B2C/P2P) may enable us auto to **capture a larger share of this market.**



Referral Program to Dealers'

- 1 Customers receive the “financial pre-approval” (οικονομική προ-έγκριση) based on their financial profile
- 2 They are provided with a **unique referral code** to present to any partnered Dealer
- 3 This referral code allows customers to complete the purchase seamlessly, enhancing the buying experience & Dealer relationship
- 4 Through a user-friendly **banner** display, customers will have the option to **explore and purchase** used vehicles **from our trusted dealer network** (TBD – subject to analysis)

The referral scheme generates additional business without disrupting our collaboration



Omnichannel Promotion

Available loan **options for car purchases** will be strategically communicated **across all available channels**, enabling individuals to access financing solutions that meet their needs

*The data originates from a customer (PB & IB) questionnaire survey

BAU Actions

- 1 Integration of Machine Learning Risk models that will identify high conviction zones & lead to advanced judgment to Low Risk customers

Applicable for:

- **Retail Auto Loans**
- **Fleet Sales Company Cars**

Strategic Actions

- 1 Establish an asset management process, to take advantage of cars residual value
- 2 Initiate buy-back contracts, offering balloon type loans that will allow to be more competitive in terms of policies (lower debt installment affecting debt repayment capacity)
- 3 Design pilot credit policies for Stock Financing & RAC Fleet Sales Business, applied on selected dealers and up to specific amount of disbursed loans

Applicable for:

- **Stock Financing**
- **Fleet Sales RAC**

Key Highlights

- **2023***: Total value of domestic car rental market is estimated ~ € 1bn
- Fleet business (RaC & Leasing): 55% of total car sales out of which ~ 40,000 vehicles represent leasing
- Private operating leasing: despite slight growth still retains a small market share

Leasing Trends in Greek Market



Karenta Leasing powered by VWFS

- Volkswagen Financial Services Hellas collaborates with Karenta
- Enhanced mobility services for individuals and businesses
- Premium options from top automotive brands



BMW Hellas Leasing

- New company specializing in leasing BMW, MINI, and Motorrad vehicles
- Focuses on digital services for up-to-date customer experience
- Fast Processing



Drivalia

- Rental & leasing company under the CA Auto Bank Group
- Offers e2e mobility solutions such as: electric car sharing subscriptions,
- All in One: “Rent. Lease. Subscribe. Share.”

Opportunities

- › **Further Strengthened Partnerships with Dealers:** Build on our existing network to deepen collaborations and enhance mutual growth opportunities
- › **Penetration into New Markets :** Leverage opportunities to access corporate clients and RaC (Rent-a-Car) businesses while strengthening retail auto loan offerings.
- › **Profit opportunities** from vehicle resale at the end of the lease term etc
- › **Asset Management:** Enhance revenue streams and credit policy by implementing a new framework for asset



In collaboration with ERB's T.O., it is essential to find the most appropriate consultant to offer high-level expertise and specialized guidance on our lending and leasing services

Appendix



Challenges & Strategic Actions

Services Provided		Greek Market	ERB Position	Challenges	How to
DEALER FINANCING	stock finance	n/a	€ 0 mn	B2B & B2B2C closely related - No presence in the dealer financing - Up to now, underperforming in fleet Auto Loans market due to low approval & complicated procedures - Limited presence in farmer financing due to low approval rates	Credit policy adjustment and loan process - Integrate to all eligible Dealers New Platform Development
	*floor plan	n/a	€ 0 mn		
FLEET AUTO LOANS	RaC	€150mn of which 10mil business cars	€ 0.15 mn		- Adjust Credit Policies; and loan process (SLA) up to disbursement - New agreements for asset management Operating Leasing Integration
	commercial vehicles		€ 1 mn		
RETAIL AUTO LOANS	new car via dealers	€290 mn (systemic) € 380 mn (total)	€ 128 mn	Strong Presence in Retail Auto Loans: - Leading position in the individuals' auto loan market, built mostly on strong relationships with an extended network which operates on an outdated system compared to major competitors (Santander) - Momentum is kept mainly due to timeless well established relations with the partners	Credit policy adjustments - Competitive SLA - Product variety New Platform Development:
	**used car via dealers'	€140 mn (systemic) €220 mn (total)	€ 27 mn		
	B2C Auto Loan	€ 122mn	€ 41mn	Opportunity in B2C Auto Loans: The aim is to capitalize on b2c loans with generic purpose to boost external networks sales	B2C Loan via Digital Asset - Dealer Referral Program: - Enhancement of Communicated Loan Purposes Across All Channels
	embedded finance	n/a	n/a	- Arising need to develop embedded finance with key market players (Mercedes & Toyota), offering seamless integration to their ecosystem - An end-to-end digital auto loan solution, positioning us as the first in the global market	- API-Driven Platform Development - Already in progress with Toyota (Integration via API's). This solution can be expanded to include additional partners
RETAIL OPERATING LEASING	MaaS & flexible rental programs used car digital market place	€1 bn	n/a	- Until now, we've grown through our strategic partnership with Arval - MaaS is an emerging trend in Greece. Penetrating this market could enhance our position as a holistic financial provider and open new revenue streams	- Expand our partnerships beyond existing collaborations - New Operating Leasing platform available to Dealers via: - New cooperation schemes with 3rd parties & capitalize "Know – How" (i.e. FlexCar,) - New On Us platform (PoS Cash Advance-like) / fleet management by 3rd party - Specialized consultant

* No market estimation. Indicative volumes, Toyota 25 mil. & Mercedes 55 mil. ** For used cars there are no official data. Estimated market volume. ***

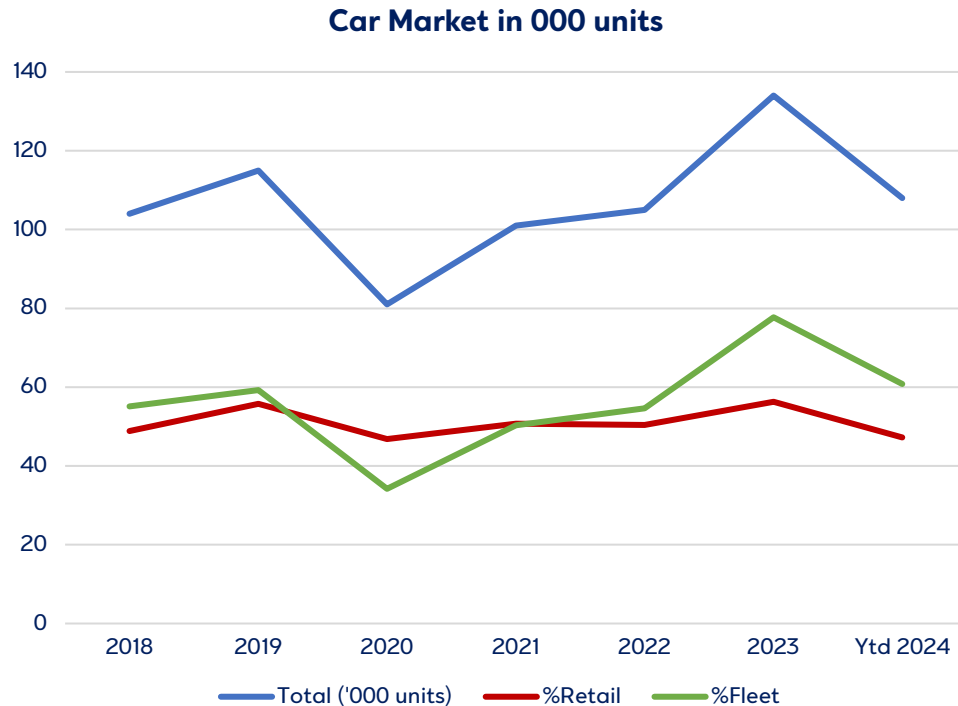
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Market Shares 10M 2024

YtD 2024									
	Total	Eurobank	ERB Market Share	Τράπεζα Πειραιώς	Τράπεζα Πειραιώς Market Share	Εθνική Τράπεζα	Εθνική Τράπεζα Market Share	Alpha Bank	Alpha Bank Market Share
TX Δίκτυα	€ 618,6	€ 206,3	33,4%	€ 165,3	26,7%	€ 143,1	23,1%	€ 103,9	16,8%
Auto	€ 354,4	€ 143,7	40,5%	€ 97,3	27,5%	€ 74,7	21,1%	€ 38,7	10,9%
CL Έμποροι	€ 129,1	€ 10,7	8,3%	€ 3,9	3,0%	€ 62,8	48,6%	€ 51,7	40,1%
Total CL	€ 1.102,1	€ 360,7	32,7%	€ 266,5	24,2%	€ 280,6	25,5%	€ 194,3	17,6%
Total Individuals (ML & CL)	€ 2.281,8	€ 660,4	28,9%	€ 582,3	25,5%	€ 631,6	27,7%	€ 407,4	17,9%
Total Loans (ML, CL & SB<2,5mln)	€ 4.025,6	€ 1.059,4	26,3%	€ 1.087,9	27,0%	€ 1.074,3	26,7%	€ 804,0	20,0%
Total Loans (ML, CL & SB<5mln)	€ 4.252,2	€ 1.286,0	30,2%						

What is the scenery: The Greek Auto Market

1. The mix is changing in favor of Fleet Market



	Total ('000 units)	% Retail	%Fleet
2018	104	47,00%	53,00%
2019	115	48,50%	51,50%
2020	81	57,80%	42,20%
2021	101	50,20%	49,80%
2022	105	48,00%	52,00%
2023	134	42,00%	58,00%
Ytd 2024	108	44,00%	56,00%

2. Dominant player in auto Retail Market

3. Laggard player in auto Fleet Market

GROUP	SYNGELIDIS GROUP	VASILAKIS GROUP	INCHCAPE GROUP	MANDILAS GROUP	SFAKIANAKIS GROUP	BMW HELLAS	B.N. THEOCHARAKIS	EMIL FREY GROUP	N.I. THEOCHARAKIS	FORD MOTOR HELLAS	VOLVO CAR HELLAS	TESLA	SARAKAKIS GROUP	OTHER
Market Share	24%	18%	18%	10,5%	8,5%	5%	4%	3%	3%	2%	1%	1%	1%	1,00%
Market Share per Brand	OPEL 5% CITROEN/DS 7% PEUGEOT 8% MAZDA 1,5% MG 2,5%	HYUNDAI 7% KIA 3% SEAT 1% CUPRA 1% FIAT 5% ALFA ROMEO 0% JEEP 1% LANCIA 0%	TOYOTA 18% LEXUS 0%	VW 4% AUDI 3% SKODA 3,5%	SUZUKI 8,3% BYD 0,2%	BMW 4% MINI 1%	RENAULT 2% DACIA 2%	MERCEDES 3% SMART 0%	NISSAN 3%	FORD 2%	VOLVO 1%	TESLA 1%	HONDA 0,40% MITSUBISHI 0,40%	LAND ROVER PORSCHE SUBARU MASERATI etc
Financed by:	1.Santander 2.CA Autobank 3.Eurobank	1.Eurobank 2.NBG 3.Alpha Bank 4.CA Autobank	1.Eurobank 2.NBG 3.Alpha Bank	VW Bank	1.Eurobank 2.CA Autobank 3.Alpha Bank	BMW Financial Services	1.Eurobank 2. Alpha Bank	1.Eurobank 2.NBG	1.Eurobank 2.NBG 3.Alpha Bank	NBG	Santander	Santander	1.Eurobank 2.NBG 3.Alpha Bank 4.Piraeus Bank	

New Platform Development Gap Analysis Santander Eurobank)

		
	Data entry (fields)	31 ~ 40
	Documents from customer	ID / Income Statement/ Payslip/ “ΔΕΚΟ” (availability to upload documents after preapproval)
	Documents from merchant	Invoice / License (before & after disbursement, respectively)
	Customer Signature	Phygital Physical
	GDPR consent	Sent through email Physical Document signing
	Fleet Sales	Facilitated through same Origination System (CL & SB) Applications submitted/ processed through email
	Time to Yes (first response)	max 1 hour new cars : 2 hours used cars : 3 hours current SLA: partially achieved



Choose your dealer

Search for your preferred dealer who will support you with your purchase.

Search by location or postcode *

Please enter a complete location or postcode for more accurate results.

SW1A 1AA.

Search for a dealer



Privacy Notice

Before proceeding with this application, all applicants must read, understand and accept this Privacy Notice and the Credit Reference Agency Information Notices referred to within it - [Privacy Notice](#)

☐ I have read and understand this privacy notice. *

My Finance

Toyota Financial Services offers a free online portal and app named 'My Finance' that allows its customers to view and manage their agreements safely and securely and provides other helpful facilities and functionality.

☐ I would like to manage my finance agreement online.

Communication Preferences

Toyota Financial Services (UK) PLC would like to stay in touch and communicate with you directly or through the network of appointed Toyota dealerships about offers, products and services that may be of interest to you and about exciting news and developments.

Your personal details

Please complete the following information to proceed with your application.

Title *
Select a title

First name *

Last name *

Mobile phone number *

Home phone number

Email address *

Confirm email address *

Date of Birth *
DD/MM/YYYY

Gender *
☐ Male ☐ Female

Marital Status *
Select a marital status

Residential Status *
Select a residential status

Employment details

Please provide your employment details for the last three years (you may enter a current and a previous employment).

Current Employer

Employment Type *
Employed

Employment Status *
Select employment status

Job Title *

Employer Postcode *

Occupation *
Select occupation

Employer *

Find Address

Manually enter your address

Thank you for your application.

Please make a note of your proposal number. You may select the Download PDF button to save the document as a record of your application.

Our underwriting team is currently processing your application and your chosen dealer will be in touch with you within 24 hours.

Your proposal number:

37458823

Download PDF

Invest in a scalable platform that can gradually support modules for auto financing, operating leasing and MaaS, allowing for easy expansion when needed

Key Features for our Platform Development

1. Cloud Based Platform

- › Scalability and Flexibility
- › Common platform Fleet & Retail
- › Reporting capabilities
- › Digital signature
- › Minimum required fields
- › Retrieve customer data from gov.gr
- › Support Loyalty schemes
- › Integrated platform with insurance products

2. Digital Loan Origination

- › User-Friendly Application Process
- › Automated Data Collection & Verification
- › Pre-Approval and Real-Time Decisioning

3. Dealer Integration and Partner Ecosystem

- › Dealer Management Integration
- › Partner API Ecosystem

4. Mobile and Omni-Channel Experience

- › Mobile App Integration
- › Omni-Channel Support

Capabilities Offered by Competitor Platforms



Toyota Finance UK

- **Digital Application Submission & Instant Approval**

to complete their purchase with the dealer of their choice

- **Personalized Finance Management:** The “My Finance” platform allows customers to manage their financing agreements online



Santander UK

- **Digital Application Submission & Instant Approval:** The platform allows financing applications to be submitted online

- **Integration with Dealers’ systems**

enabling simple management and real time tracking of applications

- ✓ **Seamless Experience**
- ✓ **Streamlined Purchase**
- ✓ **Efficient Dealer Management**

Διαχείριση οχημάτων που έχουν κατασχεθεί ή επιστραφεί

- **Άμεση αποτίμηση** της αξίας των οχημάτων
- **Ταχεία ρευστοποίηση** μέσω του δικτύου αγοραστών της εταιρείας
- **Μείωση κόστους** αποθήκευσης και διαχείρισης

Υποστήριξη σε προγράμματα χρηματοδότησης & leasing

- Συνδρομή στις αξιολογήσεις **αξίας οχημάτων** για leasing ή χρηματοδότηση.
- Δυνατότητα εγγυημένης επαναγοράς (buy-back) οχημάτων που έχουν χρηματοδοτηθεί
- Διευκόλυνση στη **διάθεση οχημάτων στο τέλος της περιόδου leasing**

Τεχνολογική Υποστήριξη

Χρήση εργαλείων για:

- **Ανάλυση δεδομένων** σχετικών με την αξία, τη φθορά, και τις τάσεις στην αγορά οχημάτων
- **Πρόβλεψη της αξίας** σε διαφορετικά χρονικά πλαίσια, βοηθώντας τη στρατηγική διαχείρισης των οχημάτων